

Project Design Phase-I
Proposed Solution Template

Date	9 March 2026
Team ID	SWUID202641986
Project Name	Project - Automobile Insurance Fraud Detection System
Maximum Marks	2 Marks

Proposed Solution Template:

Project team shall fill the following information in proposed solution template.

S.No.	Parameter	Description
1.	Problem Statement (Problem to be solved)	Insurance companies face large financial losses because of fake automobile insurance claims. Detecting fraud manually takes a lot of time and may contain human errors. The system aims to automatically identify whether an insurance claim is genuine or fraudulent using machine learning
2.	Idea / Solution description	The proposed solution is a web-based system that uses machine learning algorithms to analyze insurance claim details such as customer information, incident details, and claim amount. The system predicts whether the claim is fraud or genuine and helps insurance agents make faster and more accurate decisions
3.	Novelty / Uniqueness	The system uses machine learning models to automatically detect fraud instead of relying only on manual checking. It analyzes patterns from previous claim data and gives quick predictions through a simple web interface, making fraud detection faster and more reliable.
4.	Social Impact / Customer Satisfaction	This system helps insurance companies reduce financial losses due to fraud. It also protects honest customers by keeping insurance costs fair. Faster claim verification improves customer trust and satisfaction.
5.	Business Model (Revenue Model)	Insurance companies can use this system as a fraud detection tool to reduce unnecessary claim payments. The software can be provided to insurance companies as a service or licensed product, helping companies save money and improve efficiency.

6.	Scalability of the Solution	The system can be easily expanded to handle large amounts of insurance claim data. It can also be integrated with existing insurance company systems and improved with more data and advanced machine learning models in the future.
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